

CRAIG FURFINE

A Landlord's Certainty: The Taxation of Property Investment

December 16, 2015, was an exciting day for 32-year-old Heather Wilson. After years of painstaking savings, she had finally reached an agreement to purchase her first buy-to-let property, a one-bedroom flat in London's sought-after Kensington and Chelsea neighborhood. She looked forward to a lifetime of building wealth through property investments. Of course, some of the income the property would generate would be owed to Her Majesty's Revenue and Customs (HMRC). But such was the nature of life. Unfortunately, the tax laws had recently become less favorable for property investors, but Wilson expected to negotiate a lower purchase price as a result and so she felt confident that her investment remained solid.

Heather Wilson

Wilson had always been intrigued with real estate. Living in London her entire life, she had experienced a period of time that witnessed tremendous swings in real estate prices (**Exhibit 1**). After prices collapsed in 2008 and 2009, she took what little savings she had amassed and bought a small two-bedroom flat in the Kingston upon Thames area. The rebound in property prices lifted the value of her home over the following years, so when she remortgaged the flat, she was able to extract substantial equity. When combined with diligent savings out of her management consultant paycheck, this meant that now Wilson had approximately £300,000 she could invest elsewhere. She viewed real estate as a way to build lifetime wealth, and so she began looking for buy-to-lets. Because she was relatively risk averse, she looked for investment property closer

to central London, which ultimately led her to discover the property in the Royal Borough of Kensington and Chelsea.

The Property

Wilson's buy-to-let property was located on Cromwell Road, a few minutes' walk from the Earl's Court and Gloucester Road tube stations (**Exhibit 2**). It was a one-bedroom flat located at the back of the property, away from the noise of Cromwell Road, with south-facing views, approximately 43.9 square meters in size (**Exhibit 3**). From the property, her tenant would be able to be in Central London in 10 minutes via the Piccadilly line, and in East London in less than 30 minutes via the Circle line. The property was also within walking distance of London's internationally renowned Victoria and Albert Museum, the Royal Albert Hall, and the lovely Kensington Gardens. The property was listed for sale at £565,000, and so, as a benchmark, Wilson assumed this would be her acquisition price. However, she was still in negotiations with the seller, and in light of the new tax rules Wilson thought she might be able to achieve a lower price.

With such a great location, the property was expected to be very easy to let. In fact, the property already had a tenant paying £425 per week, implying a gross rental yield of 3.9%.¹ Although this yield was low, it was actually higher than the average yields in the Kensington and Chelsea area. The neighborhood was among the city's most attractive, and therefore it was not unusual that yields in the area were among the lowest in London (**Exhibit 4**). By comparison, the 3.9% yield on Wilson's property looked rather generous. Of course, there would be expenses associated with property ownership, and with a few additional assumptions (**Table 1**), Wilson was able to calculate that the property would deliver a net rental yield of approximately 3.2%.²

Table 1: Costs of Investment Property Ownership

Vacancy allowance	1 week/year
Property management (as % of gross rental revenue)	8%
Monthly maintenance expense	£100
Annual insurance premium	£675
Capital expenditures as a share of net operating income (NOI)	10%

Of course, Wilson expected that the investment would deliver returns in excess of its yield due to price appreciation. After reviewing historical data (**Exhibit 5**), she assumed that the annual increase in the rent she could collect would be 3% per year, which was the approximate average growth rate of rents over the previous ten years. Property expenses would probably grow at a similar pace. Looking at historical property prices (**Exhibit 1**), she calculated that the average growth rate of property prices in the Kensington and Chelsea neighborhood was 10%. This seemed like a very high number, especially since she knew that home prices had been falling recently. Looking only at the most recent five years, house prices in the neighborhood had increased at an annual

¹ The gross rental yield is calculated as the weekly rent × 52, divided by the purchase price.

² The net rental yield is calculated as annual rental income less operating expenses, divided by the purchase price.

rate of 7.3%. To remain somewhat conservative, Wilson thought it reasonable to assume that the sales price of her investment property would rise by 6% per year. From this, Wilson was able to calculate a forecast of the cash flows her property investment would deliver to her over the coming ten years, from which she calculated a total return on the investment of approximately 8.1% (**Exhibit 6**). At this point, Wilson paused, realizing that to justify a return in a spreadsheet only required skill at financial analysis. For those returns to be realized, she needed to be comfortable with her assumptions.

Taxation of Investment Property

Although she had benefited from good investment timing on her own home, Wilson was not quite as lucky with her Cromwell Road investment. Because of the persistently rapid rises of property prices, the UK government had recently undertaken a number of policy changes aimed at cooling off the very hot buy-to-let market. These policy changes impacted the taxes that Wilson would face as a landlord.

Income Tax and the Tax Deductibility of Financing Costs

Taxable income in the UK is equal to earned income less a personal allowance. As a property investor, Wilson's earned income would be the sum of her property's taxable income and her salary, which was currently £135,000 per year.³ The personal allowance was £11,000, but for taxpayers with earned income in excess of £100,000 the allowance began to be phased out.⁴ In particular, the personal allowance was reduced by £1 for every £2 of earned income in excess of £100,000. Once earned income exceeded £123,700, the personal allowance was £0. Individuals with taxable income up to £32,000 paid basic rates of 20%, with income between £32,000 and £150,000 taxed at higher rates (40%), and additional rates (45%) applied to taxable income in excess of £150,000 (**Table 2**). Thus, Wilson's salary meant she paid higher rates, and soon she would be an additional-rate payer.

Table 2: Income Tax Bands

2016 income tax rates (applied to earned income less personal allowance)		
Basic rate	20%	Up to £32,000
Higher rate	40%	£32,001 to £150,000
Additional rate	45%	Over £150,000

Source: Her Majesty's Revenue and Customs.

³ On average, Wilson had seen salary increases of 3% per year, which she expected to continue.

⁴ The size of the personal allowance tended to increase each year, although the magnitude and timing of such adjustments were difficult to predict.

Some expenses on her investment property were deductible from gross rental income, for example:⁵

- Letting agents' fees⁶
- Legal fees for lets of a year or less, or for renewing a lease for less than 50 years
- Accountants' fees
- Buildings and contents insurance
- Interest on property loans
- Maintenance and repairs to the property (but not improvements)
- Utility bills, like gas, water and electricity
- Council tax
- Contracted services such as cleaning or gardening
- Other direct costs of letting the property, like phone calls, stationery, and advertising

Capital expenditures, like the purchase of the property or the cost of renovations beyond repairs for wear and tear, were not deductible.⁷ The UK government was also implementing changes to income tax relief for residential property finance costs. Formerly, 100% of financing costs were deductible from rental income. This deduction was being phased out gradually beginning in 2017 (**Exhibit 7**). In exchange, property investors would be allowed to reduce their overall tax liability with a basic rate tax reduction.

For many landlords, the change in the tax deductibility of interest charges would make no difference in the overall tax burden of owning investment property. For example, suppose a landlord without any other source of income generated £52,000 of rental income and incurred £20,000 in financing costs and £9,000 of other allowable expenses. Under the old rules, taxable income would be calculated as $£52,000 - £20,000 - £9,000 = £23,000$, which would incur a tax liability of £2,400.⁸ Once the new rules were completely implemented, taxable income would be calculated as $£52,000 - £9,000 = £43,000$. This would incur a preliminary tax liability of £6,400.⁹ Then, the landlord would be able to apply a tax credit equal to 20% of the financing charge, which in this example is £4,000. The total tax liability therefore would be $£6,400 - £4,000 = £2,400$. Thus, landlords paying basic rates would not see an increase in their tax liability due to the new rules applied to financing charges.

⁵ Utilities and council tax (property tax) would be paid by Wilson's tenant.

⁶ Wilson had identified a property management firm that would cover all of the fees associated with leasing the property for a charge of 8% of total rental revenue.

⁷ In general, depreciation of investment property is not allowed in the UK. An exception would be the "wear and tear allowance" for furnished lettings. See "Renting Out Your Property (England and Wales)," accessed February 15, 2019, <https://www.gov.uk/renting-out-a-property>.

⁸ Calculated as $(£23,000 - £11,000) \times 20\%$. See Table 2.

⁹ Calculated as $(£43,000 - £11,000) \times 20\%$.

However, property investors paying higher or additional rates would see their tax burden rise because they would lose an income deduction that would reduce higher or additional rates in exchange for a basic rate tax credit. For example, suppose a landlord with £35,000 of self-employment income earned an additional £18,000 in rental income and had £8,000 in financing costs and £2,000 of additional allowable property expenses. Under the old rules, the landlord's total taxable income would be $£35,000 + £18,000 - £8,000 - £2,000 = £43,000$. As calculated above, this would incur a tax liability of £6,400. Once the new rules were implemented, taxable income would be $£35,000 + £18,000 - £2,000 = £51,000$. This would incur a preliminary tax liability of £9,600.¹⁰ There would then be a tax credit applied equal to $20\% \times £8,000 = £1,600$, for an overall tax bill of £8,000. Thus, income taxes for this landlord would increase by £1,600 following the implementation of the new rules.

Stamp Duty Land Tax

A purchaser of residential property in the UK was subject to the residential stamp duty land tax (SDLT). Historically, this tax was assessed simply as 1% of the purchase price of the property in excess of £60,000.¹¹ With skyrocketing property prices in the heart of London, property buyers in two boroughs alone (Westminster and Kensington & Chelsea) paid nearly £1 billion in SDLT in the 2014 tax year.¹² In total, purchases of residential property contributed 43% of total SDLT UK revenue.¹³ In December 2014, Her Majesty's Treasury replaced this constant SDLT tax rate with additional bands of property values and higher tax rates (**Exhibit 8**). In addition, a further 3% SDLT surcharge would apply to any residential purchase made by someone who already owned a residential property if that purchase occurred after November 26, 2015. Given Wilson's home in Kingston, she would be subject to the additional SDLT surcharge.

Capital Gains Taxes

Finally, Wilson knew that a successful property investment would subject her to capital gains taxes—or so she hoped! Capital gains were calculated as the difference between what the owner sells the property for and what the owner originally paid for it. Taxpayers could deduct expenses associated with the buying or selling of the property (such as estate agents' and solicitors' fees) as well as the costs of improvement works. Normal operating expenses were not deductible for capital gains purposes. Higher- or additional-rate taxpayers would be subject to a 28% tax rate on all capital gains above an annual exempt amount (AEA) of £11,100. Basic rate taxpayers would face an 18% tax rate on gains that still kept the taxpayer in basic rates. Additional gains would then be taxed at 28%.

¹⁰ Calculated as $(£32,000 \times 20\%) + (£8,000 \times 40\%)$, since income above £43,000 is taxed at higher rates.

¹¹ See Vanessa Houlder, "London's Status as Treasury Cash Cow Is Under Threat," *Financial Times*, September 6, 2016, <https://www.ft.com/content/3360a24a-1b90-11e6-b286-cddde55ca122>.

¹² Ibid.

¹³ Ibid.

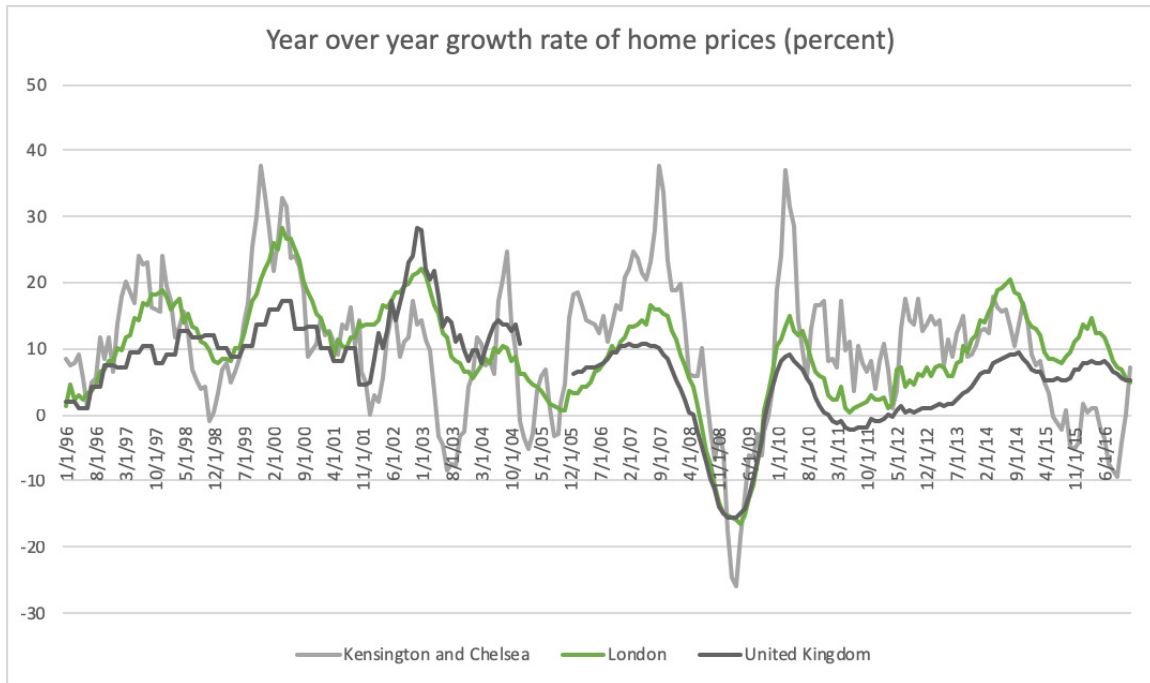
Financing Choices

Given the tax laws and how they were changing, Wilson realized that the fraction of her property's income owed to HMRC would depend on (1) the purchase and sale price of the investment, (2) the income the property generated over her investment horizon, and (3) the costs of financing the investment. She believed she would negotiate a fair price for the property, and she had already estimated its future sale price when analyzing the returns she hoped the property would deliver. Wilson knew that higher income meant higher taxes, but, clearly, higher income was still to be preferred. The remaining factor that would ultimately influence her tax liability was her financing costs. These costs were something over which she could exert at least some control.

Wilson was willing to commit £300,000 of savings to the property investment, although she wondered whether it would be a good idea to retain some of those savings in case of some unforeseen financial emergency. For the rest of the purchase price, she would have to borrow. Buy-to-let mortgages were readily available, but they came in many different varieties. Wilson didn't like the idea of getting a tracker mortgage, in which the interest rate was subject to change each month. Instead, she decided to focus on fixed-rate mortgages—in particular, mortgages whose interest rate was fixed for as long as possible, which in the current market meant five years. She outlined her financing choices under consideration (**Exhibit 9**). Because she anticipated holding the property for longer than five years, Wilson could remortgage the flat at the prevailing buy-to-let rates at that time. Alternatively, she could keep whatever loan she chose today, understanding that regardless of that loan, its interest rate would reset after five years to a rate equal to the sum of the Bank of England Base Rate (BEBR) plus a margin of 4.49%. If Wilson's loan were resetting today, the reset rate would be 4.74%, but of course, five years from now, the BEBR was likely to be higher than the current 0.25%, meaning her interest rate would reset to a rate higher than 4.74% if she did not remortgage (**Exhibit 10**).

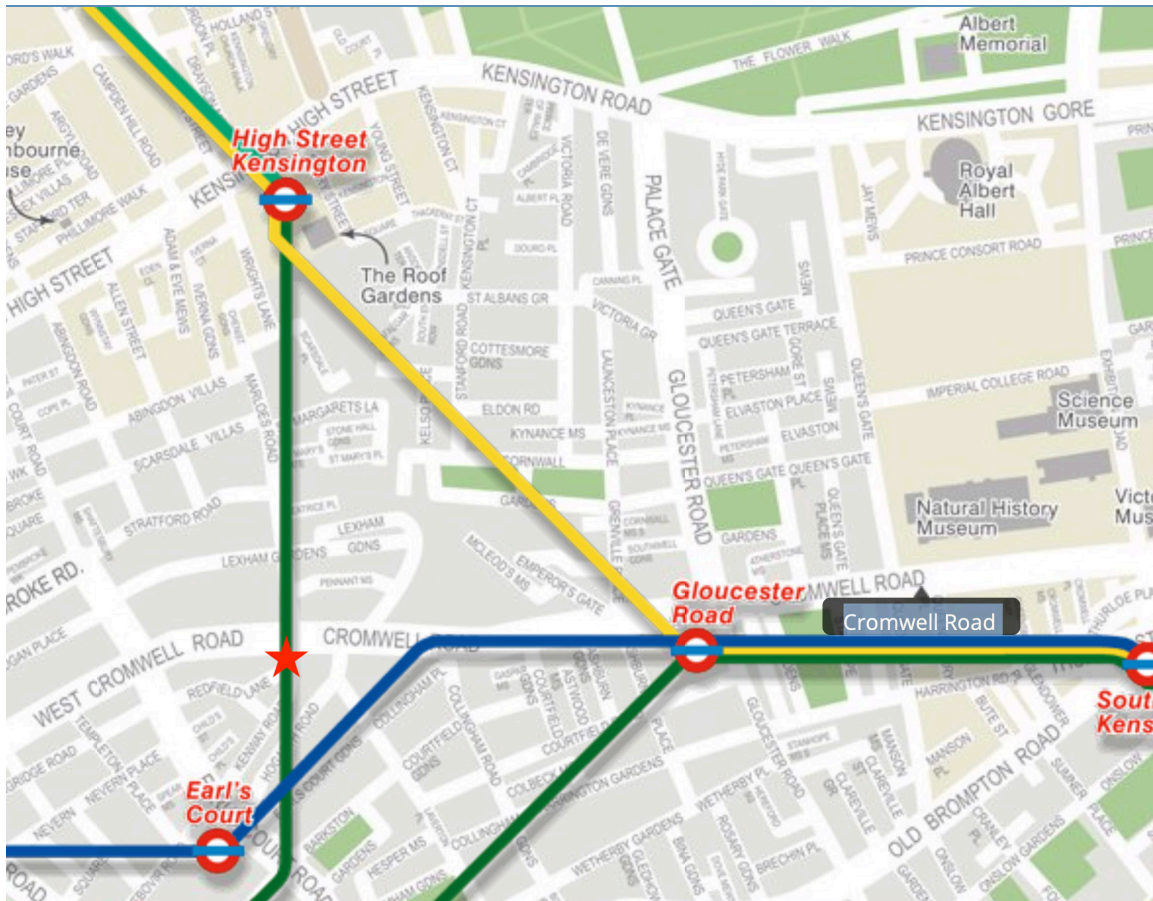
Next Steps

With a tenant in place and a property management firm under contract, Wilson had only to negotiate a sales price and choose which financing offer to accept before officially becoming a property investor. Despite the recent changes to the tax rules for investors, she looked forward to a lifetime of wealth accumulation through property.

Exhibit I: House Price Growth, 1996–2016

Source: UK Office for National Statistics House Price Index.

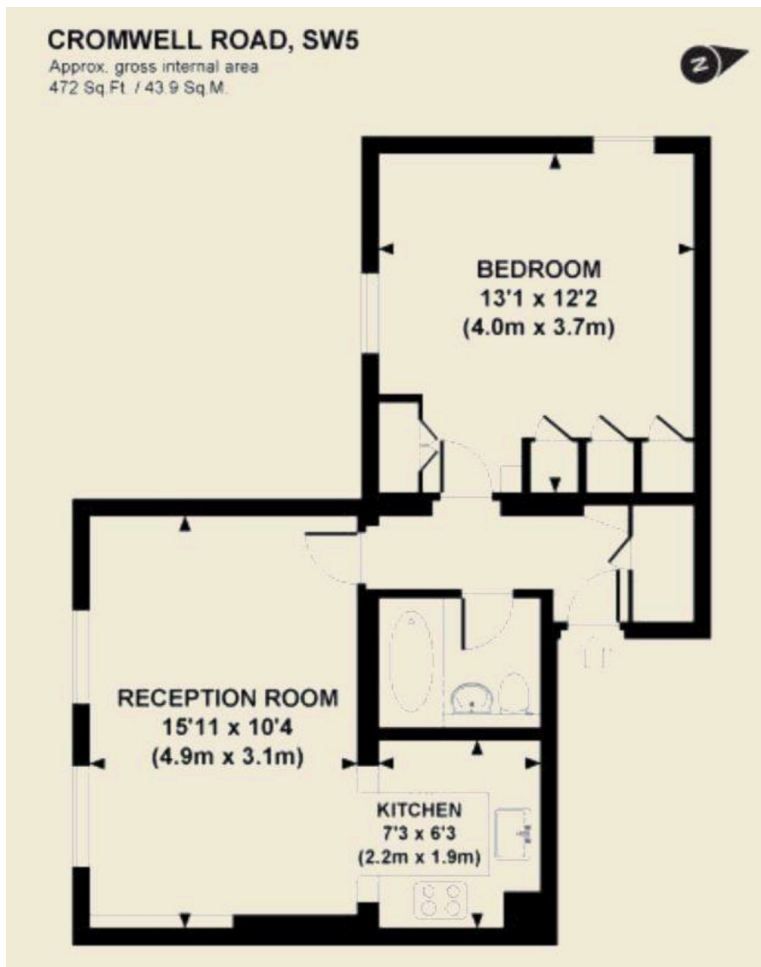
Exhibit 2: Property Location



Location of property marked by red star.

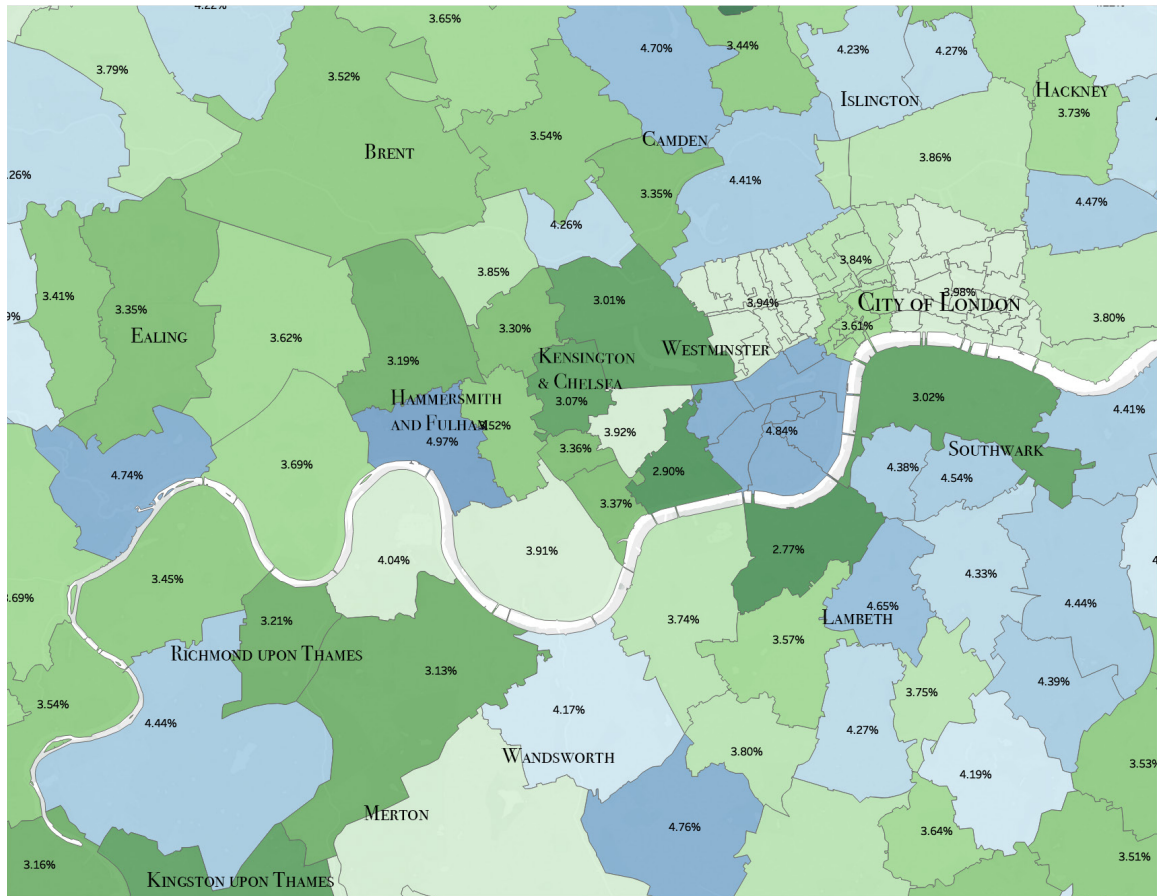
Source: LondonTown, "Cromwell Road Location Map," accessed February 15, 2019, http://www.londontown.com/LondonStreets/cromwell_road_909.html.

Exhibit 3: Property Floor Plan



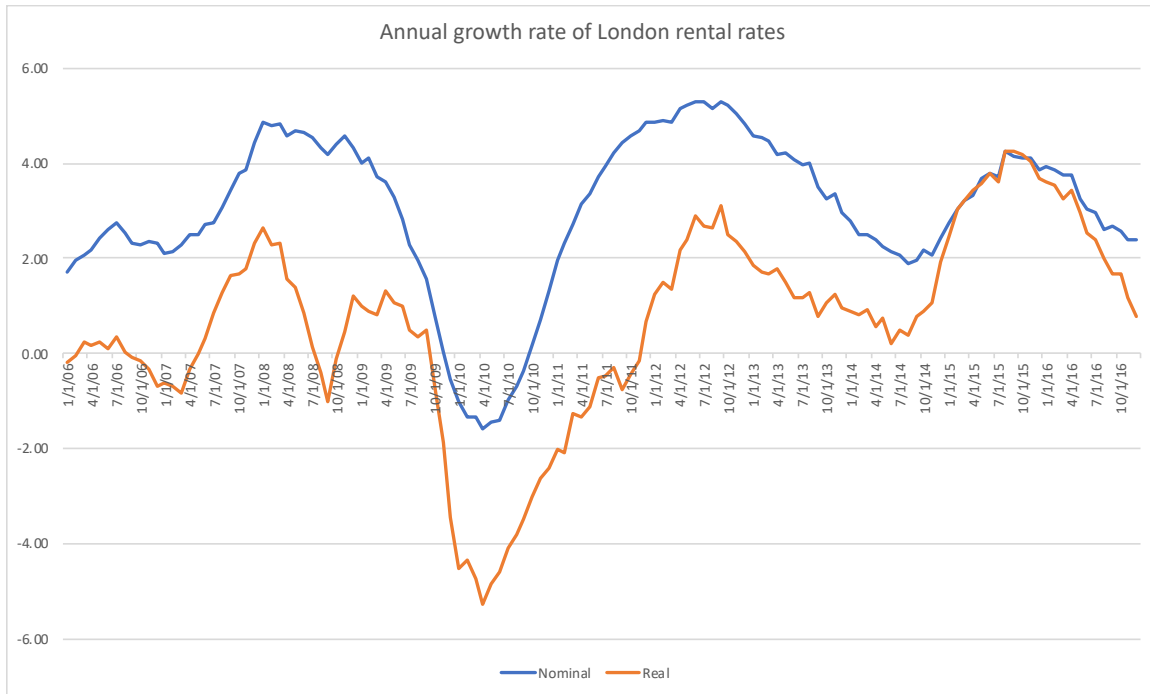
Source: Bective Leslie Marsh, accessed February 15, 2019, <http://www.bective.co.uk>.

Exhibit 4: Gross Rental Yields by Neighborhood



Source: TotallyMoney.com; author calculations.

Exhibit 5: Historical Rent Growth in London



Source: UK Office for National Statistics' Experimental Index of Private Housing Rental Prices and consumer price inflation data. The index calculates changes in the rents for both new and ongoing tenancies.

Exhibit 6: Property Pro Forma

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Rent		22,100.00	22,763.00	23,445.89	24,149.27	24,873.74	25,619.96	26,388.56	27,180.21	27,995.62	28,835.49	29,700.55
Vacancy		425.00	437.75	450.88	464.41	478.34	492.69	507.47	522.70	538.38	554.53	571.16
Total revenue		21,675.00	22,325.25	22,995.01	23,684.86	24,395.40	25,127.27	25,881.08	26,657.52	27,457.24	28,280.96	29,129.39
Property management		1,734.00	1,786.02	1,839.60	1,894.79	1,951.63	2,010.18	2,070.49	2,132.60	2,196.58	2,262.48	2,330.35
Maintenance		1,200.00	1,236.00	1,273.08	1,311.27	1,350.61	1,391.13	1,432.86	1,475.85	1,520.12	1,565.73	1,612.70
Insurance		675.00	695.25	716.11	737.59	759.72	782.51	805.99	830.16	855.07	880.72	907.14
Total expenses		3,609.00	3,717.27	3,828.79	3,943.65	4,061.96	4,183.82	4,309.33	4,438.61	4,571.77	4,708.93	4,850.19
NOI		18,066.00	18,607.98	19,166.22	19,741.21	20,333.44	20,943.45	21,571.75	22,218.90	22,885.47	23,572.03	24,279.19
CapEx		1,806.60	1,860.80	1,916.62	1,974.12	2,033.34	2,094.34	2,157.17	2,221.89	2,288.55	2,357.20	
Sales price											1,011,828.95	
Sales expenses											50,591.45	
Property cash flow	565,000.00	16,259.40	16,747.18	17,249.60	17,767.09	18,300.10	18,849.10	19,414.57	19,997.01	20,596.92	982,452.33	
Property IRR	8.06%											

Exhibit 7: Scheduled Phase-Out of the Deductibility of Financing Charges

Tax year ^a	Percentage of Finance Costs Deductible from Rental Income	Percentage of Basic Rate Tax Reduction
2016	100%	0%
2017	75%	25%
2018	50%	50%
2019	25%	75%
2020	0%	100%
2021 and beyond	0%	100%

^a The tax year runs from April 6 to the following April 5. To simplify the calculation, this is being ignored.

Source: Her Majesty's Revenue and Customs.

Exhibit 8: Stamp Duty Land Tax

Property or Lease Premium or Transfer Value	SDLT Rate
Up to £125,000	Zero
The next £125,000 (the portion from £125,001 to £250,000)	2%
The next £675,000 (the portion from £250,001 to £925,000)	5%
The next £575,000 (the portion from £925,001 to £1.5 million)	10%
The remaining amount (the portion above £1.5 million)	12%

... plus ...

an additional 3% if the property purchaser already owns a residential property and purchases another after November 26, 2015

Exhibit 9: Financing Choices

	Repayment Mortgages		Interest-Only Mortgages	
LTV	60%	75%	60%	75%
Rate	2.37%	2.77%	2.47%	2.87%
Fixed period	5 years	5 years	5 years	5 years
Amortization	25	25	Interest only	Interest only
Reset rate	4.74%	4.74%	4.74%	4.74%

Exhibit 10: Bank of England Base Rate

Year	Day	Month	Rate
2006	3	Aug	4.7500
	9	Nov	5.0000
2007	11	Jan	5.2500
	10	May	5.5000
	5	July	5.7500
	6	Dec	5.5000
2008	7	Feb	5.2500
	10	April	5.0000
	8	Oct	4.5000
	6	Nov	3.0000
	4	Dec	2.0000
2009	8	Jan	1.5000
	5	Feb	1.0000
	5	Mar	0.5000
2016	4	Aug	0.2500

Source: Bank of England, "Interest Rates and Bank Rate," accessed February 15, 2019, <https://www.bankofengland.co.uk/monetary-policy/the-interest-rate-bank-rate>.